

tell you they are okay with risk. You will most commonly hear: “I am a risk-tolerant, aggressive investor.”

This is greed speaking.

Ask the same question after six months of relentless selling and lower prices, and you will get a very different answer: “I am a risk-averse, conservative investor.”

This is fear speaking.

Neither answer is fully accurate, but both reflect what just happened. That is the recency effect in action.



Let’s compare two *Wall Street Journal* articles published three years apart. The first was dated October 15, 2007, and the second was on May 17, 2010. The only thing separating the two stories is three years—and a 57% market crash during the worst recession since the Great Depression.

Can you guess how the tone of the articles differs?

The 2007 headline was telling: “Exorcising Ghosts of Octobers Past.” Even the subhead was optimistic: “Despite Housing Slump, Crashes Such as in 1987 Likely to Stay Memories.”³³⁵ It came exactly 20 years after the 1987 crash and seven years past the dotcom implosion. Those disasters were distant memories, and besides, stock prices had doubled off the 2003 lows. Housing and credit were shaky, but we were told the impact was “contained.”³³⁶

As the Dow passed 14,000 and the dominant psychology was bullish, here is what the *Journal* said about the 1987 crash:

With the stock market booming lately, many investors are putting aside worries about the housing slump and the summer’s credit crunch. At the same time, some are thinking about a looming anniversary... But some of the root causes of the 1987 crash appear to be missing today. A big problem 20 years ago was that stocks had risen too far, too fast. At their